FINANCIAL INTELLIGENCE 001 / RESEARCH MEMORANDUM

Inside Tungsten West's £71 Million Restart Financing

Government Capital, Project Expenditure and Refinancing Risk at Hemerdon

Independent SMPT research • Evidence through 4 November 2026

1 Financing the restart

Tungsten West's £71 million financing headline contains £61 million of gross equity and core-loan funding, alongside a £10 million uncommitted accordion. The National Wealth Fund (NWF) transaction therefore brings both capital that the company reports raising or drawing and an option for further borrowing that requires agreement. Full drawdown of the £25 million core loan was disclosed by accounts approval on 2 September, advancing the financing beyond its August announcement. Management describes Hemerdon's restart as fully funded and reports commissioning progress. [S1, S2, S3]

The composition matters because the £36 million equity contribution absorbs project risk without scheduled repayment, while the core loan places a financing obligation alongside the operating ramp. NWF capital supports redevelopment and the refinancing of earlier short-term debt, but the new loan's announced 366-day tenor gives the company a relatively short period in which to establish dependable cash generation or arrange replacement funding. [S1, S2, S4, S5]

October's £40–45 million remaining-project-spend estimate provides a useful measure of work still to be financed and executed, although operating costs sit outside its scope. Mapping that estimate to the financing instruments directs attention to how expenditure and collections fall within the financing horizon. [S2]

Exhibit 1 Reconciled financial findings

Verified result	Financial interpretation
£61m gross core financing	£36m equity plus £25m loan. The £71m maximum includes £10m uncommitted lending.
£40–45m remaining spend	October management estimate of project expenditure, excluding operating costs.
£5.75m incremental stress	Analyst combination of upper-range capex, delay sensitivity and an annual rate proxy.
August receipts deferred £2m deficit	Original-plan counterfactual. Rounded detailed uses imply about £1m instead.

The investment case consequently turns on the quality and timing of execution after funding. Processing progress and a commercial offtake agreement strengthen the route to sales; their financial value will emerge as saleable output becomes collected cash. The accepted model quantifies selected cost and receipt sensitivities so that investors and lenders can examine those dependencies without treating a financing announcement as a cash-flow forecast.

Sources: S1 S2 S3 S4 S5 Full titles on page 8; claim locators in the evidence appendix.

2 Operating progress and cash conversion

Hemerdon's tungsten and tin redevelopment in Devon sits within Drakelands Restoration Limited (DRL), a wholly owned Tungsten West subsidiary. The August facility proposal identifies DRL as borrower with group guarantees, linking project execution to obligations across the corporate structure. That distinction matters when assessing liquidity: the location and restrictions of cash determine whether a group balance can meet a particular project's bills. [S1, S4]

The issuer's September processing announcement and October commissioning update show progress toward generating revenue. Fine-gravity wet commissioning in the third quarter and coarse-gravity wet commissioning in October are reported as achieved milestones. Their significance is the opportunity to demonstrate sustained plant performance, through which ore throughput and recovery translate into payable output. A plant can be commissioning successfully while volumes, unit costs and collection patterns are still developing. [S2, S6]

The eight-year Elmet agreement announced on 23 September provides a commercial outlet for 1,000 tonnes of contained WO3 annually, with variable pricing linked to ammonium paratungstate (APT). It strengthens market access while leaving receipts dependent on deliveries and the contractual price at settlement. With variable pricing, the issuer's nominal value above £1.4 billion at prevailing prices and exchange rates carries no revenue guarantee. The additional 500-tonne processing provision still requires agreement on commercial and delivery terms and reasonable endeavours. [S7]

Exhibit 2 Evidence required as the restart advances

Observed or targeted stage	Financial test
Processing and wet commissioning reported	Sustained hours, throughput, recovery and cost per payable unit.
Elmet offtake signed	Product acceptance, delivery schedule, invoice pricing and collection terms.
FY2028 output guidance	Production and shipment reconciliation before treating guidance as receipts.
Loan repayment or refinancing	Monthly cash minimum, executed maturity and an agreed source of repayment.

Management's FY2028 outlook exceeds 3,300 tonnes of contained WO3 and 600 tonnes of tin. As production builds toward that guidance, recovery and product acceptance will influence the payable volume, while invoice and payment terms determine how quickly sales replenish cash used in the restart. Delays can therefore affect liquidity even where the eventual sales opportunity remains intact. [S2]

For an investor, this makes shipment and collection data the natural successors to commissioning announcements. For a public capital provider, the same observations indicate whether financed capacity is becoming usable supply. The evidence documents this progression without isolating the additional output caused by government intervention.

Sources: **S1** **S2** **S4** **S6** **S7** Full titles on page 8; claim locators in the evidence appendix.

3 Capital structure and financing terms

Within the core transaction, equity and debt expose capital providers to different parts of Hemerdon's economics. The £36 million equity contribution participates in residual returns and changes ownership, giving the company capital without a scheduled principal payment. The £25 million loan brings a repayment claim into the restart timetable, while any subsequent use of the £10 million accordion would require commitment and add indebtedness. The announced shareholder arrangements also give NWF specified board nomination or observer, information and veto rights, providing a basis for oversight alongside its financial exposure. [S1, S3, S4]

The disclosed loan pricing makes time consequential. October terms specify SONIA plus an initial margin of 5.5 percentage points, with a further percentage point each quarter. A slower ramp can thus defer receipts while the margin rises. The repayment calendar nevertheless requires the executed agreement: the original announcement measures the 366-day term from definitive agreement, whereas the accounts refer to drawdown, leaving the precise maturity unresolved. [S1, S2, S4]

Exhibit 3 Instrument economics and documentation

Instrument or term	Supported status and diligence implication
£36m equity	Gross raise reported. Exact net cash credit and transaction fees remain unreconciled.
£25m core loan	Full draw disclosed by 2 September. Current principal and repayment timetable need confirmation.
£10m accordion	Uncommitted. No default availability assumed in the model.
366 days and quarterly pricing steps	Announced short tenor. Executed start date, rate conventions and fees remain necessary.
Group security deed dated 28 August	Filed fixed/floating security with equipment exclusions. Facility linkage and priority require diligence.

The filed group security agreement provides documentary evidence of fixed and floating security and a negative pledge, naming DRL, Tungsten West, Tungsten West Services and Aggregates West as chargors and GLAS as trustee. Its financed-equipment exclusions make the relationship with other creditors particularly relevant. The deed references a loan agreement without naming the lender, so attribution to NWF remains an inference from its timing and parties. Registration supplies a diligence starting point; facility linkage, priority and collateral value still require the complete financing documents. [S8]

Equipment funding adds a longer-dated source of finance and a separate service burden. October disclosure identifies £11 million current equipment finance and approximately £22 million for ordered machines, with three-to-five-year terms and indicative pricing around 10%. Reconciling their overlap and draw schedule with April's £22.3 million agreement is necessary before assessing aggregate debt or future cash service. [S2, S9]

Sources: **S1** **S2** **S3** **S4** **S8** **S9** Full titles on page 8; claim locators in the evidence appendix.

4 Remaining expenditure and the cash bridge

October's £40–45 million remaining-project-spend guidance describes the redevelopment work ahead, with £25–35 million falling in FY2027 and the balance in the following financial year. The model's £42.5 million midpoint is an analyst convention within that range. Because financial years end on 31 March and operating costs are excluded, the guidance needs to be mapped to monthly payments and operating cash flows before it can inform a liquidity forecast. [S2]

The audited starting point is £25,485,511 of general-use group cash at 31 March 2026, alongside a separately restricted £14,912,042 restoration escrow. The intervening financing changes what the company can fund, but September publication of those accounts leaves their cash observation at March. The FY2026 net equity proceeds of £41,029,253 and convertible-note cash issuance of £5,205,000 already contribute to that opening stock. A post-March reconstruction must begin with the stock and then follow subsequent movements. [S1]

Exhibit 4 Dated cash observations and unresolved movements

Dated item	Status in reconstruction
31 March general-use cash £25.486m	Audited group opening stock. Restricted escrow excluded.
April Hargreaves payment £3m	Subsequent-event note confirms payment. Further £7m due by 15 May 2027.
May USD25m bridge	Binding facility limit. Exact draw and GBP equivalent unavailable.
28 August bridge repayment	Issuer reports full repayment. Actual GBP outflow, FX and fees unresolved.
NWF gross equity £36m and loan £25m	Raise and full loan draw disclosed. Net equity credit and complete uses still required.
Closing cash at research cutoff	Unavailable without full operating, investing and financing cash movements.

The bridge illustrates why gross funding does not measure construction headroom. The May facility, subsequent bridge repayment and NWF receipts sit among operating expenditure, capital payments and other financing movements whose exact dates and amounts are needed to close the cash rollforward. Comparing the £61 million transaction with October remaining spend would omit these uses and the receipts arising during the same period. [S1, S2, S5, S10]

Accounting presentation introduces a further reconciliation issue. The March £10.642 million deposits balance mainly reflects rebuild purchase orders, so cash committed to redevelopment extends beyond the PPE acquisition line. Meanwhile, the £197.212 million convertible-note conversion and £167.324 million fair-value remeasurement moved no cash. A bank-reconciled ledger and unpaid capex schedule would resolve these distinctions and allow management's fully funded pathway to be examined as dated financial headroom. The available record supports no finding of a current shortage. [S1]

Sources: **S1** **S2** **S5** **S9** **S10** Full titles on page 8; claim locators in the evidence appendix.

5 Cost exposure and dependence on receipts

The October spending range makes the scale of incremental cost exposure visible. Moving from the £42.5 million midpoint to £45 million adds £2.5 million, to which the model adds the company's approximately £3 million sensitivity for a three-month delay involving fallback processing. A separate analyst rate proxy, one percentage point on a constant £25 million for one year, contributes £0.25 million. Together they produce a £5.75 million increment above the midpoint reference. [S1, S2]

This combination is useful because execution pressure can affect both expenditure and financing cost. It remains a deliberately bounded stress: the rate proxy isolates exposure without reconstructing SONIA, quarterly margin steps or fees, and the delay cost has no fiscal-year assignment. No accordion draw is assumed. The result therefore measures a selected increase in uses, leaving the amount and timing of any financing response to a fuller cash forecast.

Exhibit 5 Reconciliation of the two scenario findings

Calculation in GBP millions	Result and meaning
(45 − 42.5) + 3 + (1% × 25 × 1 year)	5.75 incremental cost and rate stress above the midpoint.
August sources 88 − deferred receipts 15	73 sources remain under this counterfactual.
Stated uses 88 − target reserve 13	75 non-reserve uses on the aggregate-total convention.
73 − 75	−2 ending cash. £15m below the original reserve target.
Detailed rounded uses 87 − reserve 13	74 non-reserve uses. Alternative ending cash −1.

The original August funding plan exposes a separate dependence on collections. Its £61 million equity and core loan sat alongside £7 million opening cash, £5 million provision recovery and £15 million anticipated receipts. Published aggregate sources and uses both totalled £88 million, including a £13 million reserve. Deferring the receipts while holding the other plan items fixed leaves approximately £2 million negative cash on those totals, a £15 million shortfall against the reserve target. [S4]

The separately rounded use lines total £87 million, producing approximately £1 million negative cash under the same counterfactual. Retaining that rounding difference avoids false precision while preserving the economic finding: the original reserve depended materially on the timing of operating receipts. The exercise concerns the August plan at an unspecified peak funding date and makes no claim that the receipts failed to arrive. Its scope overlaps subsequent expenditure guidance, so combining it with the October £5.75 million stress would misstate a current financing requirement.

Sources: **S1** **S2** **S4** Full titles on page 8; claim locators in the evidence appendix.

6 Cash generation within the loan horizon

The loan's announced 366-day tenor places repayment or refinancing close to the period in which Hemerdon is establishing its operating cash cycle. October's FY2028 guidance includes approximately £26 million NWF principal and interest and £6 million equipment service, alongside £70–75 million cash operating costs and sustaining capex. The separate £7 million Hargreaves payment takes the model's selected annual cash reference to £109–114 million, with a £111.5 million midpoint. These amounts show why production economics and the financing calendar need to be assessed together. [S2]

The model relates that selected cash reference to tungsten receipts using 3,300 tonnes of contained WO3, 100 mtu per tonne, 79.5% payability and a modeled 3% deduction. At those coefficients, each £1 per mtu of GBP APT reference generates £254,479.50 in the annual receipt proxy, giving £438.15 per mtu at the midpoint cash requirement. This calculation isolates the sensitivity to price and payable volume without supplying a forward commodity forecast or substituting for Elmet's executed pricing terms. [S2]

Exhibit 6 FY2028 tungsten-only core coverage reference

Cost case	Core cash reference	GBP APT reference per mtu
Lower operating-cost case	£109.0m	£428.33
Midpoint convention	£111.5m	£438.15
Upper operating-cost case	£114.0m	£447.97

The coverage reference omits tin and aggregate receipts as well as remaining restart capex, growth expenditure, cash taxes and working capital. Because the omitted flows run in both directions, the result supplies neither full project break-even nor a conservative bound. Its value is diagnostic: it shows how a defined set of cash uses compares with a defined tungsten revenue coefficient, while keeping the missing parts of the project cash flow visible.

At fixed coefficients, a £100 per mtu reference-price change moves the annual tungsten receipt proxy by about £25.45 million. Achieved output and collection timing determine how much of that price exposure becomes cash available for creditors. A strong price can improve refinancing prospects, but a slower ramp may still absorb working capital and defer collections as financing costs rise.

Refinancing would move the repayment obligation to a later date and on terms still to be agreed. The relevant test is therefore the alignment of dependable collections with contractual payments, together with the availability and economics of replacement capital. A monthly forecast through the executed maturity, supported by the equipment-debt schedule, is necessary to assess repayment capacity and covenant headroom.

Sources: **S1** **S2** **S4** **S7** Full titles on page 8; claim locators in the evidence appendix.

7 Implications for institutional capital

For equity investors, NWF's investment reduces dependence on uncertain access to restart funding and gives the company a stronger basis for pursuing its commissioning programme. The return on that capital will depend on the cash remaining after operating costs, investment and financing obligations. Monitoring payable output and collections therefore provides more information about the developing investment case than the financing headline alone; any further capital raise would also need to be assessed for its ownership and dilution consequences.

A lender's analysis begins with the same operating evidence but asks when cash becomes available against a specific repayment calendar. The definitive facility must settle the tenor origin, rate conventions and quarterly step dates, as well as covenants, cure rights and accordion conditions. Security diligence must then reconcile the group deed with financed-equipment exclusions and creditor priority. Together, these documents determine how much flexibility exists if the commercial ramp takes longer than expected.

Public capital providers have an additional implementation test. The equity investment carries residual exposure, the loan requires recovery, and the industrial objective depends on commissioned capacity becoming dependable supply. Monitoring those objectives separately allows strategic progress to be recognized without assuming it proves a financial return. Government procurement remains subject to a subsequent agreement, with no agreed price floor disclosed. [S3, S4]

Exhibit 7 Evidence that would change the financial assessment

Indicator	Improvement or deterioration to assess
Bank-reconciled liquidity and capex ledger	Remaining obligations funded with clear headroom, or rising unpaid commitments and restricted cash.
Throughput, recovery and payable shipments	Sustained conversion toward guidance, or repeated commissioning and acceptance delays.
Receivable ageing and collections	Contracted output converts to cash, or working capital absorbs financing.
Executed repayment and refinancing terms	Agreed replacement capital or cash cover, or an unresolved maturity approaching.
Equipment draw and amortisation schedule	No double-counted capacity and manageable cash service, or concentrated payment pressure.

Hemerdon has progressed to disclosed equity funding and loan drawdown, with processing milestones and a binding commercial agreement supporting management's restart pathway. The next financial judgement will be better informed by how much saleable material is delivered, how promptly customers pay and how the repayment timetable is funded. The instrument reconstruction and scenario results identify where those observations matter most, while a reconciled liquidity and debt schedule remains the prerequisite for underwriting current headroom or investment value.

Sources: **S1** **S2** **S3** **S4** **S7** **S8** Full titles on page 8; claim locators in the evidence appendix.

8 Methodology and primary source guide

This memorandum uses the evidence register and model accepted in Phase 1B at commit 772f2f4c02631f533a0a893849c9bedb8a6ff8ad, with a research cutoff of 4 November 2026. The editorial revision retains the original amounts, reporting dates and company/project scope. Financial years end on 31 March. Audited balances, issuer guidance, filed terms and analyst scenarios are identified according to their evidentiary role.

All four principal findings reconcile to the accepted workbook. Independent LibreOffice validation tested 32 cases with zero remaining failures and no differences across 167 cached formulas; the earlier missing-input failures and their corrections remain preserved in the audit trail. The publication workbook is byte-identical to that accepted version. Native Microsoft Excel execution remains unverified.

The evidence appendix and model guide contain claim-level locators, scenario assumptions and metric definitions. Current cash, aggregate current debt, a complete funding gap, valuation/NPV/IRR, DSCR, covenant headroom, repayment sufficiency and default probability remain outside the supported conclusions. The analysis also makes no causal estimate of additional production attributable to public financing.

S1 Annual Report and Accounts 2026 (2026-09-03)

S2 Unlocking Hemerdon: Corporate Presentation October 2026 (2026-10-13)

S3 National Wealth Fund backs Tungsten West to unlock critical UK tungsten supply (2026-08-25)

S4 Strategic Investment by the UK Government National Wealth Fund, RNS9611R (2026-08-25)

S5 Short-Term Loan Repayment (2026-08-28)

S6 Processing operations commence during visit by NWF, RNS7152U (2026-09-15)

S7 Strategic Tungsten Supply and Offtake Agreement with The Elmet Group, RNS 8695V (2026-09-23)

S8 DRL group security agreement and charge 118544670005 (Deed dated 28 August; filed 1 September 2026)

S9 Q1 2026 Project Update, RNS5416Z (2026-04-08)

S10 Q1 2026 Project Funding and Debt Update (2026-05-21)

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